

Table 6.3 Cumulative Failure Rates

Maximum Price Decline (%)	Bull Market	Bear Market
5 (breakeven)	298 or 14%	46 or 8%
10	465 or 37%	81 or 22%
15	374 or 54%	84 or 37%
20	288 or 68%	70 or 49%
25	232 or 79%	85 or 64%
30	147 or 86%	58 or 75%
35	96 or 91%	41 or 82%
50	152 or 98%	79 or 96%
75	36 or 100%	24 or 100%
Over 75	2 or 100%	1 or 100%

As the table shows, higher numbers of big Ms see price drop more than 20% in bear markets as opposed to bull ones. This makes intuitive sense (it's like a receding tide will lower all boats). I consider values above 50% to be exhilarating.

Table 6.3 shows how failure rates climb for small drops after the breakout. For example, 298 big Ms or 14% of the patterns in bull markets failed to see price drop more than 5% after the breakout. Over a third (37%) failed to see price drop more than 10%. In bear markets, the pattern performs better, with 37% failing to see price drop more than 15%.

You can use this table to help determine the chance of price making an extended decline. Want to make 50% after shorting your big M? Good luck with that. Only 2% in bull markets see price drop that far (that is, 98% fail to see price drop that far).

Table 6.4 provides breakout and post-breakout statistics.

Breakout direction. As I mentioned, if a big M breaks out upward, then you have a case of mistaken identity. Valid big Ms only break out downward.

Yearly position, performance. You will see the big M pattern appear anywhere in the yearly price range. Bull markets seem to find them hiding